

Table 1: Sample Construction — Baseline (1991–2011 CRSP Data)

Step	Description	Obs removed	Obs remaining	WFICNs
(0)	All WFICN-month observations after WFICN merge	–	1,241,561	10,740
(1)	Drop missing or zero portfolio TNA	205	1,241,356	10,740
(2)	Drop missing monthly portfolio return	78,282	1,163,074	10,621
(3)	Keep sample window 1997–2011	191,666	971,408	10,325
(4)	Keep domestic equity (EDC)	835,754	135,654	1,653
(5)	Exclude ETFs	5,872	129,782	1,565
(6)	Exclude index funds	19,324	110,458	1,340
(7)	Exclude non-target categories	2,148	108,310	1,322
(8)	Drop impossible returns	1	108,309	1,322
(9)	Require lagged TNA $\geq$ \$10M	8,782	99,527	1,215
(10)	Drop missing winsorized flow	202	99,325	1,215
12m regression sample	Require 12 consecutive lagged returns	–	77,140	1,215

Table 2: Summary Statistics — Baseline Sample (1991–2011)

Variable	N	Mean	Std. Dev.	p25	Median	p75
Fund flow (%)	99,325	0.34	5.22	-1.52	-0.28	1.34
Monthly portfolio return (%)	99,325	0.67	6.52	-3.02	1.15	4.56
Past 12-month return (%)	83,186	8.79	24.51	-6.93	11.26	24.16
Portfolio TNA (\$M)	99,325	705	1,833	73.7	213.4	611.7
Expense ratio (%)	90,309	1.34	0.40	1.10	1.28	1.53
Turnover ratio	90,037	1.00	1.02	0.46	0.79	1.27
Fund age (years)	99,325	10.80	8.46	5.16	8.92	13.91

Table 3: Flow-Performance Regressions — Baseline (1991–2011)

Variable	(1)	(2)	(3)	(4)
Past 12m return	0.0209*** (0.0013)	0.0201*** (0.0013)	0.0928*** (0.0047)	0.0943*** (0.0046)
$\log(\text{TNA}_{t-1})$	— —	0.0002 (0.0003)	0.0003 (0.0003)	0.0002 (0.0003)
Expense ratio	— —	-0.2551** (0.1053)	-0.2477** (0.1109)	-0.1499 (0.1095)
Fund age (years)	— —	-0.0006*** (0.0001)	-0.0004*** (0.0001)	-0.0004*** (0.0001)
Turnover ratio	— —	-0.0016*** (0.0005)	-0.0013** (0.0005)	-0.0015*** (0.0005)
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	77,140	77,140	77,140	77,140
R-squared	0.012	0.023	0.087	0.089

Notes: The dependent variable is winsorized monthly fund flow. Past 12m return is the lagged cumulative return over the previous twelve months. Standard errors, clustered by WFICN, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively.

Table 4: Quintile Analysis — Baseline (1991–2011)

Panel A: Average monthly flows by past-performance quintile

Quintile	Mean flow (pp/month)	Median flow (pp/month)	Observations
Q1 (worst)	-1.35	-1.16	16,694
Q2	-0.57	-0.67	16,606
Q3	-0.09	-0.35	16,613
Q4	0.57	-0.02	16,606
Q5 (best)	1.87	0.58	16,667
Q5–Q1 spread	3.22		

Panel B: Quintile regression coefficients (Q1 = reference)

Variable	(1)	(2)	(3)	(4)
Q2	0.0082*** (0.0007)	0.0078*** (0.0007)	0.0077*** (0.0007)	0.0076*** (0.0007)
Q3	0.0131*** (0.0007)	0.0124*** (0.0007)	0.0122*** (0.0007)	0.0123*** (0.0007)
Q4	0.0198*** (0.0008)	0.0191*** (0.0009)	0.0189*** (0.0008)	0.0190*** (0.0008)
Q5	0.0331*** (0.0012)	0.0324*** (0.0012)	0.0323*** (0.0012)	0.0325*** (0.0012)
Controls	No	Yes	Yes	Yes
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	77,140	77,140	77,140	77,140
R-squared	0.057	0.066	0.094	0.096

Notes: Funds are sorted into quintiles each month based on lagged twelve-month performance. Q1 contains the worst performers and Q5 the best performers. The dependent variable is winsorized monthly fund flow. Panel B reports coefficients relative to Q1. Standard errors, clustered by WFICN, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively. In Model (3), the Q5 premium is 3.23 percentage points per month and the convexity ratio is approximately 2.4.

Table 5: Baseline vs. Extension Comparison

Dimension	Baseline (1991–2011)	Extension (2003–2025)
Raw CRSP period	1991–2011	2003–2025
Effective 12m regression period	2000–2011	2004–2025
Fund universe	Active domestic equity (EDC)	Active domestic equity (EDC)
Regression N (M3/M4)	77,140	135,585
Unique WFICNs (clusters)	1,215	1,120
M3 coefficient (SE)	0.0928 (0.0047)	0.1171 (0.0043)
+10 pp past return to flow (M3)	+0.928 pp/month	+1.171 pp/month
Flow SD (pp)	5.22	4.08
Past 12m return SD (pp)	24.5	19.1
Q5–Q1 unconditional means	+3.22 pp/month	+2.23 pp/month
Q5 premium, regression-adjusted M3	+3.230 pp/month	+2.610 pp/month
Convexity ratio M3	~2.4x	3.10x
Monotonic Q2–Q5 M3	Yes, all 4 models	Yes, all 4 models
Median portfolio TNA (\$M)	212	306
Median fund age (years)	8.9	14.8
SE clustering	WFICN	WFICN
Fixed effects M3/M4	Month / Month+EDC	Month / Month+EDC

Notes: The extension applies the same WFICN-based aggregation, sample filters, flow definition, performance measure, and regression specification as the baseline analysis. The raw extension sample covers 2003–2025; the 12-month regression sample starts in 2004 because past 12-month performance requires twelve lagged monthly returns.

Table 6: Flow–Performance Regressions — Extension (2003–2025)

Variable	(1)	(2)	(3)	(4)
Past 12m return	0.0219*** (0.0011)	0.0216*** (0.0011)	0.1171*** (0.0043)	0.1173*** (0.0043)
$\log(\text{TNA}_{t-1})$	–	0.0000 (0.0002)	-0.0001 (0.0002)	-0.0002 (0.0002)
Expense ratio	–	-0.3297*** (0.0754)	-0.3787*** (0.0833)	-0.3293*** (0.0827)
Fund age (years)	–	-0.0004*** (0.0000)	-0.0003*** (0.0000)	-0.0003*** (0.0000)
Turnover ratio	–	-0.0013*** (0.0005)	-0.0014*** (0.0005)	-0.0016*** (0.0005)
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	135,585	135,585	135,585	135,585
R-squared	0.012	0.023	0.075	0.076
Adj. R-squared	0.012	0.023	0.073	0.074

Notes: The dependent variable is winsorized monthly fund flow. Past 12m return is the lagged cumulative return over the previous twelve months. Standard errors, clustered by WFICN, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively.

Table 7: Quintile Analysis — Extension (2003–2025)

Panel A: Average monthly flows by past-performance quintile

Quintile	Mean flow (pp/month)	Median flow (pp/month)	Observations
Q1 (worst)	-1.50	-1.13	34,231
Q2	-0.84	-0.78	34,075
Q3	-0.51	-0.62	34,064
Q4	-0.19	-0.47	34,075
Q5 (best)	0.74	-0.10	34,171
Q5–Q1 spread	2.23		

Panel B: Quintile regression coefficients (Q1 = reference)

Variable	(1)	(2)	(3)	(4)
Q2	0.0081*** (0.0005)	0.0076*** (0.0005)	0.0075*** (0.0005)	0.0075*** (0.0004)
Q3	0.0117*** (0.0005)	0.0112*** (0.0005)	0.0111*** (0.0005)	0.0110*** (0.0005)
Q4	0.0153*** (0.0006)	0.0148*** (0.0006)	0.0148*** (0.0006)	0.0147*** (0.0006)
Q5	0.0265*** (0.0009)	0.0262*** (0.0009)	0.0261*** (0.0009)	0.0261*** (0.0009)
Controls	No	Yes	Yes	Yes
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	135,585	135,585	135,585	135,585
R-squared	0.049	0.060	0.075	0.076

Notes: Funds are sorted into quintiles each month based on lagged twelve-month performance. Q1 contains the worst performers and Q5 the best performers. The dependent variable is winsorized monthly fund flow. Panel B reports coefficients relative to Q1. Standard errors, clustered by WFICN, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively. In Model (3), the Q5 premium is 2.61 percentage points per month and the convexity ratio is approximately 3.10.

Table 8: Robustness: 6-Month Past Performance — Baseline (1991–2011)

Panel A: Main regressions with past 6-month return

Variable	(1)	(2)	(3)	(4)
Past 6m return	0.0362*** (0.0018)	0.0358*** (0.0018)	0.1319*** (0.0058)	0.1334*** (0.0058)
$\log(\text{TNA}_{t-1})$	— —	0.0001 (0.0003)	0.0002 (0.0003)	0.0001 (0.0003)
Expense ratio	— —	-0.1856* (0.1052)	-0.2069* (0.1068)	-0.1176 (0.1079)
Fund age (years)	— —	-0.0007*** (0.0001)	-0.0006*** (0.0001)	-0.0006*** (0.0001)
Turnover ratio	— —	-0.0008 (0.0006)	-0.0010* (0.0006)	-0.0012* (0.0006)
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	83,319	83,319	83,319	83,319
R-squared	0.016	0.029	0.081	0.083

Panel B: Quintile regressions with past 6-month return

Variable	(1)	(2)	(3)	(4)
Q2	0.0067*** (0.0006)	0.0066*** (0.0006)	0.0064*** (0.0006)	0.0064*** (0.0006)
Q3	0.0112*** (0.0007)	0.0108*** (0.0007)	0.0107*** (0.0007)	0.0107*** (0.0007)
Q4	0.0159*** (0.0008)	0.0156*** (0.0008)	0.0155*** (0.0008)	0.0155*** (0.0007)
Q5	0.0291*** (0.0012)	0.0287*** (0.0011)	0.0286*** (0.0011)	0.0288*** (0.0011)
Controls	No	Yes	Yes	Yes
Month FE	No	No	Yes	Yes
EDC style FE	No	No	No	Yes
Observations	83,319	83,319	83,319	83,319
R-squared	0.040	0.052	0.078	0.080

Notes: This table repeats the baseline flow–performance analysis using lagged six-month performance instead of lagged twelve-month performance. The dependent variable is winsorized monthly fund flow. Standard errors, clustered by WFICN, are reported in parentheses. *, **, and *** denote significance at the 10%, 5%, and 1% levels, respectively.